

VANGUARD REQUIRED MINIMUM DISTRIBUTIONS (RMD) GUIDE
For Traditional IRA, SEP-IRA, SIMPLE IRA, and Inherited IRA Accounts

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1. WHAT IS AN RMD?

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A Required Minimum Distribution (RMD) is the minimum amount the IRS requires you to withdraw each year from certain retirement accounts. Failure to take an RMD on time results in a 25% excise tax on the shortfall (reduced from 50% under SECURE 2.0). The penalty can be avoided by taking the RMD on time.

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2. WHICH ACCOUNTS REQUIRE RMDs?

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Subject to RMDs:

- Traditional IRA
- SEP-IRA
- SIMPLE IRA
- Inherited IRA (Traditional or Roth, with rules varying by beneficiary type)
- 401(k), 403(b), 457(b) - except active employees over RMD age may delay
- Solo 401(k)

NOT subject to RMDs during the original owner's lifetime:

- Roth IRA (beneficiaries become subject to RMDs upon inheritance)
- Roth 401(k) (as of 2024, no longer subject to lifetime RMDs under SECURE 2.0)

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3. RMD START AGE (SECURE 2.0)

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RMD age depends on your year of birth:

- Born 1950 or earlier: RMDs began at age 70-1/2 or 72 depending on prior law
- Born 1951-1959: RMDs begin at age 73 (current rule for most beneficiaries reading this guide)
- Born 1960 or later: RMDs begin at age 75

Examples:

- Birth year 1955 -> First RMD year is the year you turn 73 (calendar year 2028)
- Birth year 1962 -> First RMD year is the year you turn 75 (calendar year 2037)
- Birth year 1959 -> First RMD year is the year you turn 73 (calendar year 2032)

FIRST-YEAR DEADLINE: Your first RMD may be deferred until April 1 of the year after the year you turn RMD age (the "RMD age").

ALL SUBSEQUENT RMDs: Must be taken by December 31 of each year.

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4. CALCULATING YOUR RMD

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The formula:

$$\text{RMD} = \text{Prior-Year-End Balance} / \text{IRS Life Expectancy Factor}$$

The IRS publishes life expectancy tables in IRS Publication 590-B. The most commonly used is the Uniform Lifetime Table.

EXAMPLE - Age 73 in 2026:

- Account balance on December 31, 2025: \$500,000
- Uniform Lifetime Factor for age 73: 26.5
- 2026 RMD = \$500,000 / 26.5 = \$18,867.92

JOINT LIFE EXPECTANCY EXCEPTION

If your sole primary beneficiary is your spouse and your spouse is more than 10 years younger than you, you may use the

MULTIPLE ACCOUNTS

- IRAs: You may aggregate RMDs across multiple Traditional IRAs and take the total from any one or any combination of
- 401(k) accounts: Each plan's RMD must be taken from that plan; you may NOT aggregate across employers.
- Inherited IRAs: May be aggregated with other inherited IRAs only if inherited from the same decedent. You may NOT a

5. INHERITED ACCOUNTS

Distribution rules depend on the beneficiary type and the original owner's death date.

5.1 ELIGIBLE DESIGNATED BENEFICIARIES (EDBs)

Under SECURE Act, EDBs may continue to use life-expectancy stretch:

- Surviving spouse
- Minor child of the original owner (until age 21, then 10-year rule kicks in)
- Disabled or chronically ill beneficiary
- Beneficiary not more than 10 years younger than the original owner

5.2 NON-ELIGIBLE DESIGNATED BENEFICIARIES (DBs)

Most adult non-spouse beneficiaries (e.g., adult children) must follow the 10-YEAR RULE:

- Entire account must be distributed by December 31 of the year containing the 10th anniversary of death
- Annual RMDs are required during years 1-9 IF the original owner was past their Required Beginning Date when they died
- No annual RMD required during years 1-9 if the original owner died before their RBD (the entire balance just must be

5.3 NON-DESIGNATED BENEFICIARIES (estates, charities not qualifying as DB)

Distribution rules:

- 5-year rule (full distribution by Dec 31 of year 5) if original owner died before RBD
- Original-owner's-remaining-life-expectancy stretch if owner died after RBD

5.4 SPOUSE BENEFICIARIES

Spouse beneficiaries have unique flexibility:

- Treat the IRA as their own (best for younger surviving spouses)
- Remain a beneficiary and use beneficiary distribution rules
- Roll over to their own IRA at any time

For full beneficiary procedures, see VG-OP-002 (Beneficiary Designation Policy).

6. WITHHOLDING AND TAXES

RMDs from Traditional IRAs are taxable as ordinary income. Vanguard withholds federal income tax at the following def

- Default federal withholding: 10%
- State withholding: varies by state; some states require minimum withholding when federal is elected

You may elect different withholding by completing IRS Form W-4R or by adjusting withholding online during the distrib

For full tax-document detail (Form 1099-R reporting), see VG-OP-010 (Tax Document Guide).

7. QUALIFIED CHARITABLE DISTRIBUTIONS (QCD)

If you are age 70-1/2 or older, you may direct up to \$108,000 (2026 limit, indexed for inflation) per individual annua

- Counts toward your annual RMD (reduces the taxable RMD)
- Excluded from gross income (you do NOT itemize the deduction)

- Reduces AGI, which can lower Medicare premiums and Social Security taxation

To qualify:

- Distribution must go DIRECTLY from Vanguard to the charity (you may NOT receive funds and forward them)
- Charity must be a 501(c)(3) public charity (not a private foundation, donor-advised fund, or supporting organization)

Vanguard processes QCDs by issuing the check directly to the charity and mailing it to the charity (or to you for forwarding)

8. AUTOMATIC RMD SERVICE

Vanguard offers a free Automatic RMD Service:

- Calculates your annual RMD based on prior-year-end balance and your IRS life expectancy factor
- Distributes on a schedule you choose (annually, semi-annually, quarterly, monthly)
- Adjusts withholding per your election
- Updates calculation annually as your factors change

Enroll online at investor.vanguard.com or call 800-555-0155.

9. MISSED RMD - PENALTY ABATEMENT

If you miss an RMD or take less than required:

1. Withdraw the shortfall as soon as possible
2. File IRS Form 5329 (Additional Taxes on Qualified Plans)
3. Pay the 25% excise tax on the shortfall (or 10% if corrected within 2 years)
4. Optionally, attach a letter requesting penalty waiver due to "reasonable error" - the IRS often grants this if corrected

Example: \$500 shortfall on a \$20,000 RMD

- 25% excise tax = \$125 (or \$50 if corrected within 2 years)
- May be waived entirely if reasonable cause is established

10. CONTACT

Retirement Specialists: 800-555-0155

General Customer Service: 800-555-0199

Hours: Mon-Fri 8:00 AM-10:00 PM ET, Sat 9:00 AM-4:00 PM ET, Closed Sun

Web: investor.vanguard.com

Mail: PO Box 982901, Valley Forge, PA 19482

11. RELATED DOCUMENTS

- VG-OP-001 - Account Opening and Types Overview
- VG-OP-002 - Beneficiary Designation Policy
- VG-OP-006 - Roth IRA Conversion Procedures (relevant to RMD planning)
- VG-OP-010 - Tax Document Guide (Form 1099-R)
- VG-OP-013 - Trusted Contact and Power of Attorney Policy

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